

MACRO CLOUDS

As the third largest crude oil importer in the world, the surge of global crude oil prices past the \$100 per barrel mark has created fiscal concerns and added pressure on the current account. With waning investor sentiment, a falling rupee made imports more expensive and further muted sentiments. Besides, if the prediction of a strong El Niño affecting the monsoon this year does come true, consumption demand could be hit and that, in turn, will weigh on corporate earnings.

The cumulative effect of these trends, says Sunil Kumar, Partner of Tax and Regulatory Practice at EY India, is that FPI selling, which has accelerated in recent years, may continue in the current year too.

“Currency depreciation has adversely impacted returns in dollar terms, eroding overall investment attractiveness. At the same time, elevated US bond yields, about 4.5% for 10-year Treasuries, have emerged as a relatively attractive low-risk alternative for investors, thereby reducing the incentive to allocate capital to emerging markets such as India,” he says.

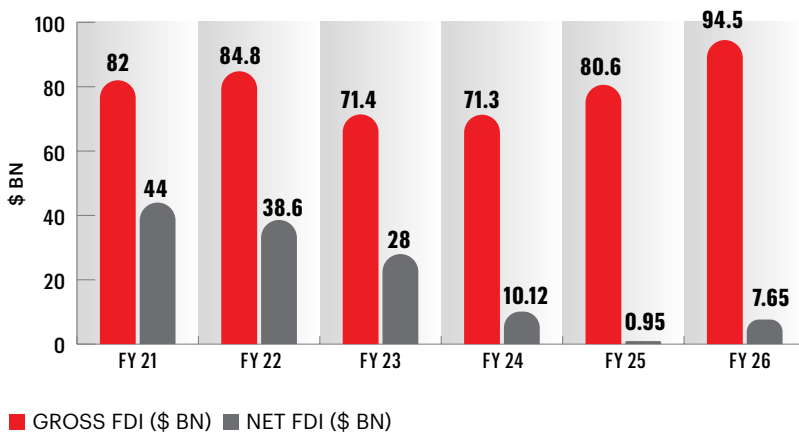
Analysts also point out that while Indian stocks have corrected amid the sell-off, valuations are still not cheap. That, coupled with the uncertain outlook, also makes FIIs wary. Amisha Vora, the chairperson and MD of PL Capital Group (Prabhudas Lilladher), says interactions with foreign investors indicate that the mood is still very subdued.

“Rising oil and falling rupee compounds our inflation and interest problem,” says Vora. She notes that India enjoyed a virtuous cycle post-Covid, where inflation was benign providing room for fiscal consolidation. Further, the cuts in the goods and services tax (GST) last year also spurred consumer demand. That led to expectations of

THE FDI CHALLENGE

• Gross FDI inflows touched a record high of \$94.5 billion in FY26, but net inflows remained below \$10 billion for the second year

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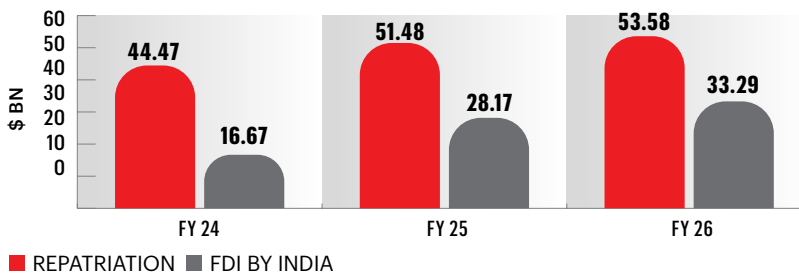


SOURCE MINISTRY OF COMMERCE AND INDUSTRY, RBI

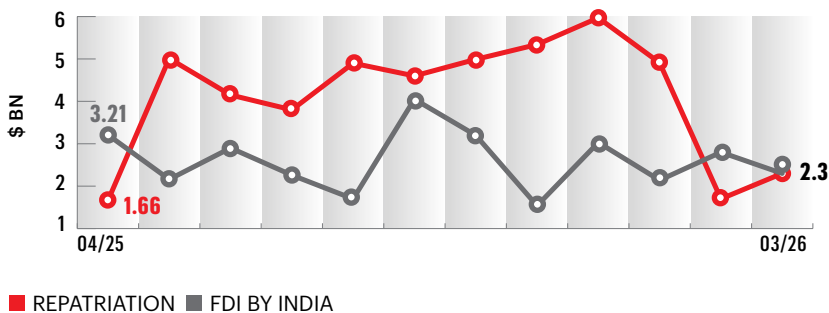
OUTFLOWS, REPATRIATIONS REMAIN HIGH

• Repatriations and foreign investments by Indian firms have risen in recent years

OUTFLOWS, REPATRIATIONS RISE IN LAST TWO FYS



MONTHLY TREND FOR FY26



SOURCE RBI